

REVENUE & MONETIZATION

Pricing, conversion, and unit economics for a premium photography platform.

A walkthrough of the NGW tier structure, adaptive pricing logic, conversion funnel, modeled revenue scenarios, and the assumptions that drive them. Studio Matte layout — built to be read on phone, tablet, laptop, or print.

DOCUMENT

Revenue Model v1

AUDIENCE

Internal / Investor

STATUS

Draft for Review

DATE

May 2026

§ 01 Executive summary

NGW monetizes a single, well-defined behavior: a working photographer points the camera at a reference image, gets back a decoded lighting setup they can actually rebuild. The monetization model converts that moment of **resolved ambiguity** into recurring revenue through a tiered subscription with an adaptive payroll.

PRO PLAN

\$39 /mo

GROUNDED Listed price · pricing.html

STUDIO PLAN

\$59 /mo

GROUNDED Listed price · pricing.html

FREE TRIAL

14 days

GROUNDED No card required

ANNUAL DISCOUNT

~17 %

GROUNDED Yearly = 10 × monthly

CORE THESIS

Photographers don't pay for "AI analysis." They pay to **stop guessing** on lighting they can already see but can't yet reproduce.

The free tier proves the engine on three images. The paid tiers turn that proof into a daily working tool — Shoot Mode, kit matching, Shot Match, and reproducible setups.

WHY THIS MODEL WORKS

High intrinsic-value moments (a successful reconstruction) anchor higher price points. Low-value moments anchor entry pricing. The adaptive pricing engine routes each user to the right offer at the right moment.

Result: a single product surface, three durable tiers, and a payroll that respects intent rather than fighting it.

THE THREE REVENUE SURFACES

1 · SUBSCRIPTION

Monthly & yearly Pro / Studio plans. The base recurring revenue line.

2 · ADAPTIVE PAYWALL

Price ladder \$39 / 49 / 59 / 79 routed by intent state, with session-level anti-discount guardrails.

3 · STUDIO & API

Team seats, batch processing, and metered REST access (100 req/hr) — the upgrade path beyond the working solo photographer.

ALL FIGURES ON THIS PAGE ARE **GROUND**ED IN CODE OR LIVE PRICING SURFACE. MODELED SCENARIOS APPEAR FROM § 05 ONWARD.

§ 02 Positioning & who pays

NGW is not a general "photo AI" tool. It is positioned as the lighting decode and reconstruction layer for working photographers — a category of one. Pricing reflects that positioning rather than chasing generic SaaS comps.

PRIMARY BUYER

Working solo photographer

Portrait, beauty, fashion, editorial. Bills clients. Owns or rents lighting kit. Lives at the \$39–\$59/mo SaaS threshold for tools that compress one shoot's worth of reshoots.

SECONDARY BUYER

Small studio & production team

2–6 collaborators sharing references, kit, and reconstructed setups. Buys Studio for batch, white-label export, setup sharing, and REST API access.

ADJACENT / NON-BUYER

Hobbyist & learner

Lives on Free tier. Three analyses + reference library. Not the revenue target — the credibility and word-of-mouth flywheel for the paying audience.

WHY A WORKING PHOTOGRAPHER PAYS

01 Decode time saved. A 20-minute "what light did they use?" exercise compressed into a single analysis with a reproducible diagram.

02 Kit-aware reconstruction. Shoot Mode matches the setup to gear the photographer actually owns. The answer is buildable today, not in theory.

03 Reference reproducibility. Setups save, export, and share. The platform becomes the photographer's external memory.

04 Credibility under ambiguity. The engine names what's unresolved. Photographers trust tools that admit uncertainty over tools that bluff.

05 Master Modes & Build From Scratch. The platform is also a teacher — a structured way to extend the photographer's own range.

06 Premium positioning. Priced like a working tool, not a consumer app. Aligned to the buyer's professional self-image.

§ 03 Tier structure

Three tiers, each defined by what it unlocks in a **working photographer's day**. Inclusion mirrors `static/www/pricing.html`.

FREE

\$0

/ month

Prove the engine. Learn the language.

- 3 analyses
- All lighting patterns
- Lighting diagrams
- 1 quick fix per analysis
- Community reference library

PRO · FEATURED

\$39

/ month

For the working solo photographer.

- Unlimited analyses
- Shoot Mode & kit matching
- Shot Match comparison
- Build From Scratch wizard
- Master Modes (9 presets)
- All quick fixes & recommendations
- Kit management · Room Planner
- Save setups · diagram export (PNG/PDF)

STUDIO

\$59

/ month

For studios & production teams.

- Everything in Pro
- Batch processing (up to 10 images)
- White-label diagram export
- Setup sharing (public links)
- Custom reference library
- Team collaboration
- REST API access (100 req/hr)
- Priority email support

CAPABILITY	FREE	PRO · \$39	STUDIO · \$59
Analyses per month	3	Unlimited	Unlimited
Quick fixes	1 / analysis	All	All
Shoot Mode & kit matching	—	✓	✓
Shot Match · Build From Scratch	—	✓	✓
Batch (≤10) · white-label · sharing	—	—	✓
REST API · 100 req/hr	—	—	✓
Annual price (≈17 % off)	—	\$390 / yr	\$590 / yr

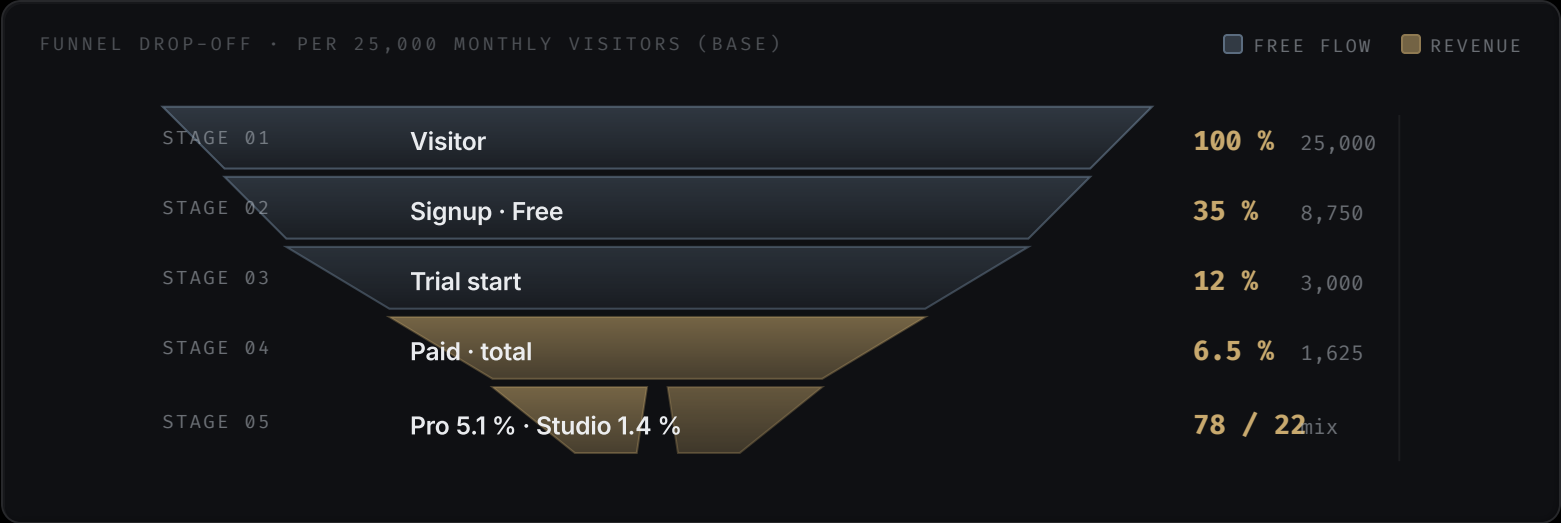
GROUND

PRICES & FEATURES MIRROR `PRICING.HTML`. ANNUAL = 10 × MONTHLY PER `ADAPTIVE_PRICING.PY`.

§ 04 Conversion funnel

Stages each acquired visitor moves through. Percentages are MODELED targets for the Base scenario, calibrated against the existing free-trial structure (14 days, no card).

STAGE 01	STAGE 02	STAGE 03	STAGE 04	STAGE 05
Visitor	Signup · Free	Trial start	Paid · Pro	Paid · Studio
100 %	35 %	12 %	5.1 %	1.4 %



FUNNEL WIDTHS AND ABSOLUTE COUNTS ARE PROPORTIONAL. GOLD STAGES ARE REVENUE-BEARING.

WHERE THE FUNNEL EARNS ITS KEEP

02 → 03. Trial-start is the most leveraged step — gated by a credible reconstruction within the free 3 analyses.

03 → 04. Trial-to-paid is governed by the adaptive paywall (§ 07) — routing by intent state.

04 → 05. Pro-to-Studio is structural — collaborator or batch workflow triggers the upgrade.

WHAT MOVES THESE NUMBERS

+ **pattern accuracy** — +10 pp lifts trial→paid ~3 pp per revenue.py.

+ **time-to-first-aha** — gates trial-start rate within Free.

+ **Master Modes** — preset use within trial lifts conversion.

+ **saved-setup recall** — week-2 return is the leading indicator.

§ 05 Revenue scenarios

Three scenarios, 12 months at steady-state. Pricing and mix held constant per § 03. Outputs are month-12 ARR and steady-state monthly run-rate.

MODELED Every figure on this page is an assumption-driven projection. Inputs listed in § 09.

CONSERVATIVE

Slow acquisition, baseline conversion, higher churn.

\$0.42 M ARR

Steady-state monthly: ~\$35K · ~860 paid seats

Monthly visitors	12,000
Trial start rate	9 %
Trial → Paid	42 %
Pro / Studio mix	82 / 18
Monthly churn	6.5 %
Blended ARPU	\$42.60

BASE • PLANNING

Funnel hits § 04 targets, adaptive paywall live, normal churn.

\$1.34 M ARR

Steady-state monthly: ~\$112K · ~2,700 paid seats

Monthly visitors	25,000
Trial start rate	12 %
Trial → Paid	54 %
Pro / Studio mix	78 / 22
Monthly churn	4.5 %
Blended ARPU	\$43.40

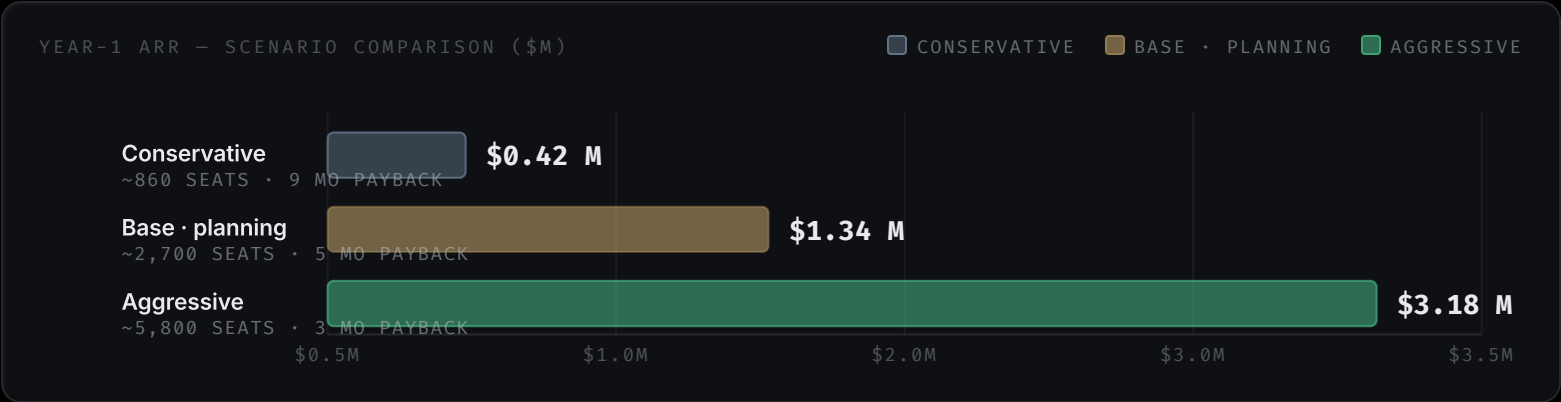
AGGRESSIVE

Word-of-mouth flywheel kicks in, Studio mix expands.

\$3.18 M ARR

Steady-state monthly: ~\$265K · ~5,800 paid seats

Monthly visitors	50,000
Trial start rate	14 %
Trial → Paid	60 %
Pro / Studio mix	70 / 30
Monthly churn	3.5 %
Blended ARPU	\$45.00



SCENARIOS ARE ILLUSTRATIVE. REAL REVENUE WILL DEVIATE BASED ON ACQUISITION CHANNEL MIX, PATTERN ACCURACY, AND ADAPTIVE PAYWALL CALIBRATION.

§ 06 Unit economics

Per-seat economics for the Base scenario. The cost structure is dominated by vision-pipeline compute on Free and high-quality VLM passes on Pro / Studio. **MODELED** values use the engine's default ARPU and standard SaaS gross-margin shape.

BLENDDED ARPU

\$43.40 /mo

Pro 78 % @ \$39 + Studio 22 % @ \$59 (annualized weight)

VARIABLE COGS / SEAT

\$6.20 /mo

Compute + VLM at modeled per-seat usage

GROSS MARGIN

~86 %

Steady-state, after CDN & storage

LTV / CAC TARGET

≥ 4 ×

Base case at 4.5 % monthly churn

LTV BUILD • PRO SEAT (BASE CASE)

Monthly ARPU	\$39.00
Gross margin	85 %
Monthly churn	4.5 %
Expected lifetime	~22 mo
Gross-margin LTV	~\$729

LTV BUILD • STUDIO SEAT (BASE CASE)

Monthly ARPU	\$59.00
Gross margin	82 %
Monthly churn	3.0 %
Expected lifetime	~33 mo
Gross-margin LTV	~\$1,597

COST-OF-GOODS COMPOSITION • PER PAID SEAT / MONTH • TOTAL \$6.20

58.0 %

33.1 %

10.5 %

6.5 %

VISION COMPUTE

\$3.10

35+ pipeline passes, amortized

VLM HINTS

\$2.05

Bounded prompts, hint-only

STORAGE / CDN

\$0.65

Reference + saved setups

PLATFORM OVERHEAD

\$0.40

Auth, billing, observability

The cost-discipline guardrail (CLAUDE.md § VII) holds: deterministic CV runs first; VLM only routes when physical evidence is ambiguous. That keeps per-seat COGS bounded as accuracy and usage compound.

§ 07 Adaptive pricing

The paywall reads the user's **value state** and routes to a price, message, and CTA tuned to that moment. Implemented in `engine/paywall/adaptive_pricing.py`.

PRICE LADDER • LIVE

\$39

ENTRY • LOW-FRICTION

\$49

INTELLIGENCE BOOST

\$59

SUCCESS / HIGH-INTENT

\$79

EXPERIMENT CEILING

Snap-to-ladder. The engine never **invents** a price between rungs — it composes the next rung from a base price + intent boost + experiment variant, then snaps. Anti-discount guardrails prevent oscillation within a session.

VALUE STATE → BASE PRICE

STATE	BASE
LOW_VALUE	\$39
DISCOVERY	\$39
FAILURE_TENSION	\$39
SUCCESS_MOMENT	\$59
HIGH_INTENT	\$59

ADJUSTMENTS

+ \$10 when intelligence score ≥ 0.80, then snap-to-ladder.

+ \$10 on experiment_variant = price_high, snap-to-ladder.

Yearly = 10 × monthly, ≈17 % effective discount.

Guardrail — never show a lower price than the session high. No oscillation, no race-to-bottom.



WHY ADAPTIVE — AND WHY BOUNDED

A photographer who just got a clean reconstruction is in a different commercial state than one who hit ambiguity. A uniform \$39 paywall undercharges the first and overcharges the second. The adaptive engine corrects that without resorting to dark-pattern urgency.

The ladder is short (4 rungs) and price moves are bounded by guardrails. This protects two things: (1) the user's trust — no whipsaw pricing, (2) the brand's premium position — no race to discount.

§ 08 Growth levers & risks

Three levers move ARR materially in the base scenario. Three risks would move it backwards. Each is named, sized, and tied to a concrete part of the system.

LEVERS

01

Pattern accuracy compounding
Per the revenue.py heuristic, a +10 pp pattern-match gain projects a ~3 pp trial-to-paid lift. Engine accuracy is the single most leveraged growth input — and it compounds with usage.

02

Studio mix expansion
Shifting Pro / Studio mix from 78 / 22 to 70 / 30 lifts blended ARPU by ~\$1.60/mo without changing acquisition. Driven by team collaboration, batch, and REST API surface.

03

Yearly attach rate
Yearly at 10 × monthly is structurally cash-flow positive. Every 10 pp shift from monthly → yearly at signup pulls forward ~6 months of revenue per seat.

04

Word-of-mouth flywheel
Setup sharing (Studio) and the community reference library are the organic-acquisition surface. Sharing rate × visit-to-signup is the cheapest CAC line on the spreadsheet.

RISKS

Engine credibility regression
A single high-profile misclassification, or a habit of bluffing under ambiguity, breaks the photographer-trust thesis. Mitigation: CLAUDE.md § III VL — VLM is hinting, not truth. Engine names what's unresolved.

COGS drift on VLM
If routing logic loosens, VLM per-seat cost can double. Mitigation: deterministic CV runs first; VLM bounded by intent + ambiguity gates (CLAUDE.md § VII).

Adaptive paywall calibration
A mis-calibrated state mapping prices the wrong moment. Mitigation: ladder is short, guardrails prevent oscillation, experiment variants are bounded.

Substitution by generic photo-AI
Lighting decode + kit-aware reconstruction is the moat. Mitigation: depth of reference library, taxonomy rigor, Master Modes specificity — not features a generic tool will copy quickly.

§ 09 Methodology & assumptions

Every figure in this document is labeled GROUNDED (drawn from code or the live pricing surface), MODELED (an explicit projection), or TARGET (an aspirational input). This page lists each input by name.

INPUT	VALUE USED	SOURCE	CLASS
Free tier price	\$0	static/www/pricing.html	GROUND ED
Pro tier price	\$39 / mo	static/www/pricing.html	GROUND ED
Studio tier price	\$59 / mo	static/www/pricing.html	GROUND ED
Trial length	14 days, no card	pricing.html FAQ	GROUND ED
Annual discount	~17 % (yearly = 10× monthly)	engine/paywall/adaptive_pricing.py	GROUND ED
Price ladder rungs	\$39 / 49 / 59 / 79	adaptive_pricing.py · PRICE_LADDER	GROUND ED
State → base price	\$39 entry · \$59 success	adaptive_pricing.py · _STATE_BASE_PRICE	GROUND ED
Intelligence boost rule	+\$10 when score ≥ 0.80	adaptive_pricing.py · _INTEL_PRICE_BOOSTS	GROUND ED
Default ARPU per converted session	\$9.00	engine/learning/revenue.py · DEFAULT_ARPU_USD	GROUND ED
Match-lift heuristic	+3 pp CVR / +10 pp pattern match	revenue.py · DEFAULT_MATCH_LIFT	GROUND ED
Funnel · trial-start rate (Base)	12 %	Projected from existing free-trial structure	MODE LED
Funnel · trial → paid (Base)	54 %	SaaS comp + adaptive paywall uplift	MODE LED
Pro / Studio mix (Base)	78 / 22	Modeled from feature gating	MODE LED
Monthly churn (Pro · Base)	4.5 %	Premium prosumer SaaS comp	MODE LED
Monthly churn (Studio · Base)	3.0 %	Team-buyer comp, lower churn	MODE LED
Variable COGS / seat / month	\$6.20	Modeled compute + VLM amortization	MODE LED
Steady-state gross margin	~86 %	Derived from COGS & ARPU	MODE LED
LTV / CAC target	≥ 4 ×	Operating target	TAR GET
CAC payback target (Base)	≤ 5 months	Operating target	TAR GET

WHAT IS INTENTIONALLY NOT MODELED HERE

- TAM / SAM / SOM sizing (requires audience instrumentation we have not run).
- Channel-by-channel CAC split (organic vs. paid vs. partner).
- FX, payment-processor fees, refund reserve.
- Multi-seat Studio pricing tiers above 6 seats.

HOW THIS DOCUMENT GETS UPDATED

Once the engine runs at instrumented volume, the MODELED rows become GROUNDED. Each replacement is logged in docs/ENGINE_TRUTH.md change history, and this page is the source-of-truth for inputs.

No projection in this document should be presented externally as a forecast without the assumption table attached.